

Before the
FEDERAL MARITIME COMMISSION

Washington, D.C. 20573

Docket No. 21-05

MCS INDUSTRIES, INC. v. COSCO SHIPPING LINES CO., LTD. AND
MSC MEDITERRANEAN SHIPPING COMPANY SA

DECLARATION OF BRITTANY MONTESANO

I, Brittany Montesano, declare as follows:

1. I currently am employed as a Logistics Analyst by Complainant MCS Industries, Inc., 2280 Newlins Mill Road, Easton, Pennsylvania, 18045 ("MCS Industries").
2. I have served as a Logistics Analyst at MCS Industries since January 2016.
3. I read and verified MCS Industries' Verified Amended Complaint in this action.
4. MCS Industries entered into an Ocean Carrier Agreement with Respondent MSC Mediterranean Shipping Company SA ("Mediterranean"), effective as of May 1, 2020 and covering the time period from May 1, 2020 through April 30, 2021 (the "2020 Service Contract"), a copy of which is attached hereto as Exhibit 1.
5. The First Amendment to the 2020 Service Contract, a copy of which is attached hereto as Exhibit 2, set the 2020 Service Contract's minimum quantity commitment ("MQC") at 1,400 twenty-foot equivalent container units ("TEUs") and listed port pairs subject to that MQC, including Tianjin, China to Los Angeles/Long Beach, California, Qingdao, China to Los Angeles/Long Beach, Ningbo, China to Los Angeles/Long Beach, Fuzhou, China to Los Angeles/Long Beach, and Jakarta, Indonesia to Los Angeles/Long Beach.

6. MCS Industries intended to use the full 1,400 TEUs of cargo space for which it contracted with Mediterranean in the 2020 Service Contract, as amended.

7. MCS Industries entered into an Ocean Carrier Agreement with Mediterranean, effective as of May 1, 2021 and covering the time period from May 1, 2021 through April 30, 2022 (the “2021 Service Contract” and, collectively with the 2020 Service Contract, the “2020 and 2021 Service Contracts”), a copy of which is attached hereto as Exhibit 3.

8. The 2021 Service Contract set its MQC at 728 TEUs, corresponding to 60.67 TEUs/month, and listed port pairs subject to that MQC, including Qingdao-Los Angeles/Long Beach, Tianjin-Los Angeles/Long Beach, and Fuzhou-Los Angeles/Long Beach.

9. MCS Industries intended to use the full 728 TEUs of cargo space for which it contracted with Mediterranean in the 2021 Service Contract.

10. Prior to and during the terms of the 2020 and 2021 Service Contracts, MCS Industries instructed its agent, Expeditors International of Washington, Inc. (“Expeditors”), to attempt to book space for MCS Industries’ cargo pursuant to the 2020 and 2021 Service Contracts, respectively.

11. During the terms of the 2020 and 2021 Service Contracts Expeditors consistently and diligently attempted to book space for MCS Industries’ cargo with Mediterranean via Mediterranean’s appointed booking agents, pursuant to MCS Industries’ direction.

12. MCS Industries complained directly to Mediterranean on many occasions, during the terms of both the 2020 and 2021 Service Contracts, regarding Mediterranean’s failure to provide contracted space.

13. Despite MCS Industries and Expeditors working with Mediterranean and Mediterranean’s approved booking agents to attempt to book space pursuant to the 2020 and 2021

Service Contracts, Mediterranean carried only approximately 1,101 TEUs of MCS Industries' cargo during the term of the 2020 Service Contract and only approximately 492 TEUs of MCS Industries' cargo during the term of the 2021 Service Contract.

14. MCS Industries would have used the full 1,400 TEUs of cargo space for which it contracted with Mediterranean in the 2020 Service Contract, as amended, and the full 728 TEUs of cargo space for which it contracted with Mediterranean in the 2021 Service Contract if Mediterranean had made such space available to MCS Industries during the respective terms of the 2020 and 2021 Service Contracts, which it did not.

15. In addition to the cargo that MCS Industries was able to ship with Mediterranean during the terms of the 2020 and 2021 Service Contracts, MCS Industries had to seek carriage from other sources, at higher rates, in order to meet its ocean shipping needs.

16. Exhibit 4 hereto lists the details of shipments of containers of MCS Industries cargo totaling 299 TEUs that were carried during the term of the 2020 Service Contract between the port pairs listed in the 2020 Service Contract pursuant to arrangements with ocean transportation intermediaries or suppliers (and not pursuant to the 2020 Service Contract or a service contract between MCS Industries and another vessel-operating common carrier). The ocean freight cost for such shipments exceeded Mediterranean's rates for such carriage in the 2020 Service Contract by a total of **\$400,509**.

17. Exhibit 4 hereto also lists the details of shipments of containers of MCS Industries cargo totaling 123.5 TEUs that were carried during the term of the 2021 Service Contract (and specifically stemming from May through July 2021—the time period that was the focus of the initial Verified Complaint in this action) between the port pairs listed in the 2021 Service Contract (specifically, Tianjin and Qingdao) pursuant to arrangements with ocean transportation

intermediaries or suppliers (and not pursuant to the 2021 Service Contract or a service contract between MCS Industries and another vessel-operating common carrier). The ocean freight cost for such shipments exceeded Mediterranean's rates for such carriage in the 2021 Service Contract by a total of **\$463,936**.

18. Exhibit 4 hereto further lists the details of additional shipments of containers of MCS Industries cargo totaling 112.25 TEUs that were carried during the term of the 2021 Service Contract (specifically, during December 2021 through April 2022—the remainder of the term of the 2021 Service Contract starting with the month in which MCS Industries sought leave to file its Verified Amended Complaint) between the port pairs listed in the 2021 Service Contract pursuant to arrangements with ocean transportation intermediaries or suppliers (and not pursuant to the 2021 Service Contract or a service contract with another vessel-operating common carrier). The ocean freight cost for such shipments exceeded Mediterranean's rates for such carriage in the 2021 Service Contract by a total of an additional **\$288,232**.

19. In total, Exhibit 4 reflects shipments of MCS Industries cargo carried during the terms of the 2020 and 2021 Service Contracts between the port pairs listed in the 2020 and 2021 Service Contracts that cost MCS Industries a total of **\$1,152,677** more than such shipments would have cost under the rates in the 2020 and 2021 Service Contracts.

20. Exhibit 5 hereto collects the invoices for the shipments listed in Exhibit 4.

To the best of my knowledge, information, and belief, including information received from others, I declare under penalty of perjury that the foregoing is true and correct. Executed on January 18, 2024.



Brittany Montesano

**CONFIDENTIAL EXHIBITS 1–5
PROVIDED TO PRESIDING OFFICER
PURSUANT TO 46 C.F.R. § 502.5(a)(2)(i)**